13.6.6 Preparation of Project Report

The project is prepared as per the format of the loan application of leading institution. It covers the aspects like sources of finance (long term and short term), availability of machine, technical know-how, sources of labour, and sources of raw materials, market potentiality and overall profitability. All the aspects are systematically estimated and presented.

The project report compiled by the entrepreneur should provide a 'Birds-eye-view' of the entire spectrum of the activity. It should give all information about the following aspects;

- **Technical Feasibility** - Power supply, water availability, transport facilities and communication network
- **Economic Viability** -Share market, revenue, suitable price structure and market forecast.
- **Financial Implications** - This comprises of recurring and non-recurring expenses. The recurring expenses include working capital, raw material needs, and wages for personnel, transport and power. The non-recurring expenses include land, buildings, plant and machinery.
- **Managerial Competency** - All the major economic activities of the company are included under this head.

13.6.7 Registration

An entrepreneur, after deciding upon a suitable product can establish an industrial unit. For this he or she must first issued a provisional (temporary) Small Scale Industry (SSI) Registration Certificate. This certificate is provided for one year and subsequently renewed for two periods of six months each. An extension of the provisional registration may also be given. Permanent Registration Certificate may be given for the industrial unit which has commenced production.

13.6.8 Obtaining Statutory License

The next step is to obtain Municipal License Registration with Central and State Sales Tax Departments. This is important to know about the sales made by each unit which in turn will denote the economic growth of the country. An entrepreneur should study the procedure completely for accounting sales to those departments and returns have to be submitted regularly.

13.6.9 Power Connection

The new entrepreneur should pay security deposit amounting to three months power connection. Formal application should be submitted to get power connection. There are categories of power supply namely Low Tension (LT) and High Tension (HT). To get power connection the entrepreneur has to make an application to the Assistant Divisional Engineer, Tamil Nadu Electricity Board.

13.6.10 Arrangement of Finance

The fund requirements for a project may be for long term and short term. Long term loans are used for acquiring assets like land, machinery and building, and short term loans are used as working capital, repayment for loans, bill discounting and in meeting day to day needs of the industry.

XII TDD_English version CHAPTER 13.indd 204 1/13/2020 3:41:24 PM